FIN 4000 Midterm Essay Study Guide: Treasury Buybacks

Midterm Part D preparation · BKM Ch. 14–16 Extension

← All study guides

Oct 15, 2026 · Jim Northey

> **What this guide is for.** Part D of the midterm is a 10-point written question on the Treasury buyback current event. It asks you to evaluate a claim and explain who is affected. This guide shows how written answers are graded, the facts you need, a five-step way to organize your answer, and three practice prompts with model answers. **Read Current Events Study Guide 5: Treasury Buybacks and Bond Yields first.** This guide builds on it and does not repeat its worked examples.

Learning objectives

After this guide you should be able to:

1. Explain what a Treasury buyback is, who takes part, and where the cash comes from.
2. Evaluate a claim about buybacks by stating a clear verdict and backing it with a mechanism.
3. Explain the effect of buybacks on dealers, investors and the Treasury.
4. State what buybacks do not do: they are not QE, they do not shrink total borrowing, and they are not designed to set yields.
5. Write a short, organized answer that earns full credit on each scoring criterion.

How written answers are graded

Each written question has a list of criteria worth 1 or 2 points each, plus 1 point for organization and correct terms. Every criterion is scored in the same three bands.

Band	What it looks like
Full credit	The point is correct **and** explained with its mechanism: *why* it happens, not just *that* it happens.
Half credit	The point is named or partly right, but the mechanism is missing or confused.
No credit	The point is missing, wrong, or contradicted elsewhere in the answer.

Overall	Typical answer
9–10 points (top)	Gives a clear verdict, defines a buyback, ties each effect to a mechanism (dealer inventory risk, liquidity premium, bill supply), says clearly what buybacks do *not* do, and stays short and organized.
6–8 points (middle)	Names the purposes and effects correctly but explains few mechanisms.
0–5 points (weak)	Lists facts, confuses buybacks with QE or Fed policy, or never addresses the impact the question asks about.

Points can also be deducted (up to 2 in total) for treating a buyback as a Federal Reserve tool or as QE, for stating a fact that ce-05 shows is wrong, or for listing facts with no explanation of their impact.

The single most important habit: for every effect you name, add a "because" clause. "Buybacks help dealers" earns half credit. "Buybacks help dealers *because* they give dealers a regular buyer for hard-to-sell off-the-run bonds, which lowers the risk of holding that inventory" earns full credit.

The facts you need

These are the points graders look for. Each one is covered in more depth in ce-05.

Question	Short answer	Mechanism (the "because")
What is a buyback?	Treasury pays cash to dealers for outstanding Treasury securities and retires them.	Treasury runs the operations on a regular schedule; the August 2026 announcement doubled the long-end cap per operation from $2 billion to at least $4 billion.
What are they for?	**Liquidity support** (buying thinly traded off-the-run bonds) and **cash management** (smoothing the TGA around tax dates).	Stated purposes are market functioning and cash smoothing, not setting yields.
Where does the cash come from?	The Treasury General Account (TGA), refilled mostly by issuing new bills.	Old long-term debt is swapped for new short-term debt, so total borrowing is not reduced. Face value falls slightly only when bonds are bought below par.
Is it QE?	No.	QE is the Fed buying bonds with newly created bank reserves. A buyback is Treasury debt management paid from the TGA and creates no reserves.
Does it move yields?	A little, mostly briefly.	Four channels: supply and demand (small), liquidity premium (real but fades), term premium if bill-funded (limited), signaling (large on announcement day, then erodes). The 30-year fell up to 10 bp on Aug 19 and rose again after the Sept 9 operation disappointed.
Effect on **dealers**	A regular, predictable buyer for off-the-run inventory.	Less inventory risk and freer balance sheets support market-making in the whole Treasury market.
Effect on **investors**	Better liquidity and lower trading costs in older bonds.	A smaller liquidity premium means investors require less extra yield for holding hard-to-trade issues.
Effect on the **Treasury**	Smoother cash and bill issuance, and possibly lower borrowing costs over time.	Lower liquidity premiums make Treasury debt cheaper to issue; cash-management buybacks smooth TGA swings.
What is the main risk?	More bills means more **rollover risk**.	Bills reprice within weeks, so interest costs respond quickly to Fed rate changes. If bill rates rise above the break-even rate, the swap costs more than it saves.
Is the effect lasting?	Probably not, unless the drivers of high yields change.	Deficits, heavy issuance, inflation risk and rising global yields push long yields up, and buybacks do not change them.

A five-step way to organize your answer

Use one short paragraph per step. A full-credit answer usually runs 150–250 words.

1. **Verdict.** State in your first sentence whether the claim is right, wrong, or partly right. "*The claim is mostly wrong because...*"

2. **Define.** One sentence on what a buyback is and how it is funded. "*In a buyback, Treasury pays dealers cash for outstanding bonds, using money raised mainly by issuing new bills.*"
3. **Mechanism.** Explain *why* the effect the claim describes does or does not happen. Name the channel (supply, liquidity premium, term premium, signaling).
4. **Who is affected.** Cover each group the question names (dealers, investors, the Treasury), each with its own "because" clause.
5. **What it does not do, and its limits.** Separate buybacks from QE and from debt reduction, and note that the effect is small or short-lived.

Finish by rereading your first sentence. If the rest of the answer does not support the verdict, fix the verdict.

Practice prompts with model answers

Try each prompt on paper in about 12 minutes before reading the model answer. Score yourself with the criteria under each one.

Practice prompt 1

A classmate says: "Treasury buybacks are just quantitative easing run by the Treasury instead of the Fed." Evaluate the claim.

Model answer (strong, 10/10). The claim is wrong: buybacks and QE look alike because both remove long-term bonds from the market, but they are funded differently and have different goals. In a buyback, Treasury pays dealers cash for outstanding bonds from its account at the Fed, the TGA, and refills that account mainly by issuing new bills. No new money is created; old long-term debt is swapped for new short-term debt. In QE, the Fed buys bonds by creating new bank reserves, which enlarges the Fed's balance sheet and is meant to push long-term yields down when short-term rates cannot be cut further. Because QE removes duration from private hands on a very large scale, it can lower the term premium substantially, while buybacks are small and mainly aimed at liquidity in thinly traded off-the-run bonds and at smoothing Treasury's cash. That is why the August 2026 buyback increase moved long yields only 5–10 basis points, and why that move partly reversed after the September operation disappointed.

Weak answer (4/10). "*This is true because both the Fed and the Treasury buy bonds, which lowers interest rates. Buybacks help the economy like QE did in 2009.*" It gives a verdict but the wrong one, never mentions how each is funded, and states effects without mechanisms.

Criterion	Points
Clear verdict that the claim is wrong, with the reason	2
Buyback funding: TGA and bills, no new reserves	2
QE funding: Fed creates reserves	2
Different goals and scale (liquidity and cash management vs. lowering long yields)	2
Evidence of size (5–10 bp move that faded)	1
Organization, correct terms, complete sentences	1

Practice prompt 2

An analyst writes: "The August 2026 increase in buyback sizes will bring long-term Treasury yields back down for good." Evaluate the claim.

Model answer (strong, 10/10). The claim overstates the effect: buybacks can lower long yields briefly, but they are unlikely to keep them down. On Aug 19 the surprise announcement worked mostly through *signaling*, showing that Treasury cares about the long end, and the 30-year yield fell by up to 10 basis points. Signaling fades unless follow-through matches expectations, and when the $6 billion operation on Sept 9 disappointed, long yields rose again. The *liquidity* channel is real, since retiring off-the-run bonds frees dealer balance sheets and lowers the liquidity premium, but analysts report that this benefit wanes. The *supply* channel is small because each operation is tiny relative to the Treasury market and Treasury keeps issuing new debt to fund deficits, so net supply barely changes. Most importantly, the forces pushing long yields up are untouched: deficits and heavy issuance, inflation risk, rising global yields and expectations of higher short rates. A lasting decline would require a lasting change in those drivers or in the net amount of duration the public must hold.

Criterion	Points
Verdict: the effect is short-lived, with the reason	2
Signaling channel and why it fades (Aug 19 vs. Sept 9)	2
Liquidity channel: real but fading	2
Supply is small and offset by new issuance	2
Names at least two drivers of high yields that buybacks do not change	1
Organization, correct terms, complete sentences	1

Practice prompt 3

A student argues: "Paying for buybacks by issuing bills is free money for the Treasury. It always saves interest and adds no new risk." Evaluate the claim.

Model answer (strong, 10/10). The claim is wrong on both counts: the saving depends on short-term rates, and the swap adds rollover risk. When Treasury retires a long bond and pays for it with bills, it stops paying the bond's coupon and starts paying the bill rate on the cash it raised. The saving holds only while the bill rate stays below the break-even rate, the coupon divided by the bond's price as a fraction of par. In ce-05's example, retiring a 3.0% bond priced at 70 breaks even at a bill rate of about 4.29%, so a 100 basis point rise in bill rates to 4.76% turns a $14.7 million annual saving into a loss. The new risk is rollover risk: bills mature in weeks, so they must be refinanced often at whatever rates prevail, and Treasury's interest costs respond almost immediately to Fed rate hikes. This risk is already a concern, since bills are near 22% of marketable debt, above the 15%–20% range Treasury's borrowing advisory committee recommends. The extra bill supply itself raises short rates only slightly, because bill yields are anchored by the Fed's policy rate and money market funds absorb bills readily.

$$r^* = \frac{c}{\text{Price}/100}$$

Where:

- r^* = break-even bill rate (4.29% in ce-05's example)
- c = coupon rate of the retired bond (3.0%)
- Price = market price of the retired bond as a percent of par (70)

Criterion	Points
Verdict: not free and not riskless, with the reason	2
Saving depends on the bill rate staying below break-even	2
Uses or explains the break-even rate	1
Rollover risk and sensitivity to Fed rate changes	2
Bill share above the 15%–20% guideline	1
Why short rates rise only slightly (policy-rate anchor, money fund demand)	1
Organization, correct terms, complete sentences	1

Common mistakes

- **Calling a buyback QE or a Fed tool.** Buybacks are Treasury debt management, paid from the TGA. Only the Fed creates reserves.
- **Forgetting the funding side.** Every buyback is paid for with cash that Treasury mostly borrows again with bills. Ask "where does the money come from?" before claiming any effect.
- **Treating the announcement-day move as permanent.** Signaling and liquidity effects decay.
- **Naming effects without a "because."** This is the most common reason for half credit.
- **Answering a different question.** If the prompt names dealers, investors and the Treasury, cover all three.
- **Listing facts.** Organize them around your verdict.

Key terms to use correctly

Full definitions are in the ce-05 key terms.

- [ ] **Buyback:** Treasury repurchases outstanding Treasury securities from dealers for cash, for liquidity support or cash management.
- [ ] **Off-the-run security:** an older Treasury issue that trades less than the most recently auctioned (on-the-run) issue.
- [ ] **Treasury General Account (TGA):** the federal government's checking account at the Fed; buybacks are paid from it.
- [ ] **Quantitative easing (QE):** large central bank purchases of long-term bonds paid for with newly created bank reserves.

- [ ] **Liquidity premium:** the extra yield investors require to hold a security that is hard to trade.
- [ ] **Term premium:** the extra yield required for holding a long-term bond instead of rolling over short-term ones.
- [ ] **Signaling effect:** a market move caused by what a policy announcement reveals about future intentions, not by the transaction itself.
- [ ] **Rollover (refinancing) risk:** the risk that maturing debt must be refinanced at higher rates.
- [ ] **Primary dealer:** a bank or broker-dealer that bids in every Treasury auction, trades directly with the Fed, and makes markets in Treasuries. Buyback operations are conducted with these dealers.